

known default is that of the Washington Public Power Supply System, and their infamous “Whoops” bonds.) Yes, I know bonds pay off in 99.9 percent of the cases, but there are other ways to lose money on bonds besides a default. Try holding on to a 30-year bond with a 6 percent coupon during a period of raging inflation, and see what happens to the value of the bond.

A lot of people have invested in funds that buy Government National Mortgage Association bonds (Ginnie Maes) without realizing how volatile the bond market has become. They are reassured by the ads—“100 percent government-guaranteed”—and they’re right, the interest will be paid. But that doesn’t protect the value of their shares in the bond fund when interest rates rise and the bond market collapses. Open the business page and look at what happens to such funds on a day that interest rates rise half a percent and you’ll see what I mean. These days, bond funds fluctuate just as wildly as stock funds. The same volatility in interest rates that enables clever investors to make big profits from bonds also makes holding bonds more of a gamble.

STOCKS AND STUD POKER

Frankly, there is no way to separate investing from gambling into those neat categories that are meant to reassure us. There’s simply no Chinese wall, bundling board, or any other absolute division between safe and rash places to store money. It was in the late 1920s that common stocks finally reached the status of “prudent investments,” whereas previously they were dismissed as barroom wagers—and this was precisely the moment at which the overvalued market made buying stocks more wager than investment.

For two decades after the Crash, stocks were regarded as gambling by a majority of the population, and this impression wasn’t fully revised until the late 1960s when stocks once again were embraced as investments, but in an overvalued market that made most stocks very risky. Historically, stocks are embraced as investments or dismissed as gambles in routine and circular fashion, and usually at the wrong times. ***Stocks are most likely to be accepted as prudent at the moment they’re not.***

For years, stocks in large companies were considered “investments” and stocks in small companies “speculations,” but lately small stocks have become investments and the speculating is done in futures and options. We’re forever redrawing this line.

I’m always amused when people describe their investments as “conservative speculations” or else claim that they are “prudently speculating.” Usually that means they hope they’re investing but they’re worried that they’re gambling. The phrase “we’re seeing one another” serves the same function for couples who can’t